

Economics Waec Past Questions Private/Candidate

Question 1

Study the following information and answer the questions that follow

Price of Commodity x in August, \$20.00.

Price of Commodity x in September, \$29.00

Quantity of Commodity x purchased in August, 80.00 kg.

Quantity of Commodity x purchased in September, 64.00 kg.

Determine:

percentage change in price of x;

percentage change in quantity purchased;

co-efficient of price elasticity of demand.

From your answer in (a)(iii),

comment on the price elasticity of demand for Commodity x;

give a reason for your answer in (b) (i).

Sketch a graph showing the type of elasticity identified in (b) (i).

Question 2

Given that quantity demanded and supplied of a given commodity are represented by the following demand and supply functions

$$Q_d = 20 - 3p$$

$$Q_s = 10 + 2p$$

(a) Construct the demand and supply schedule for price ranging from \$1 to \$5.

(b) Draw the demand and supply curve

(c) Determine the equilibrium

Quantity demanded and supplied;

Price

(d) At the price of \$5, determine the excess supply.

Question 3

- (a) Determine the price when the quantity demanded
 - (i) 2 units;
 - (ii) 3 units;
 - (iii) 4 units;
 - (iv) 5 units;
 - (v) 6 units;
 - (vii) 8 units;
- (b) Represent the function with a curve using the data obtained in (a)
- (c) State the law of demand

Question 4

- a) What is Labour?
- (b) Outline any four factors that can influence the efficiency of labour in the agricultural sector of your country

Question 5

- (a) Explain the concept localization of industry.
- (b) Highlight any four problems of localization of industry in any economy

Question 6

- (a) What is limited partnership?
- (b) In what four ways can partnership raise capital for expansion?

Question 7

- (a) Define a monopolistic competition.
- (b) Explain any four characteristics of an imperfect market.

Question 8

- (a) What are internal economies of scale?
- (b) How can a large firm maximize the benefits arising from its scale of production?

Question 9

- (a) Distinguish between a change in demand and a change in quantity demanded.
- (b) Give three reasons for changes in demand.

Question 10

- (a) In what two ways does agriculture contribute to the development of your country's economy?
- (b) Recommend any three measures that can be taken to boost large scale farming in West Africa.

Question 11

- (a) What is public debt?
- (b) Explain any four reasons why countries in West Africa continue to incur debts.

Question 12

- (a) What is export promotion?
- (b) Describe any four measures the government of your country can adopt to encourage production for export.

Question 13

- (a) Define fiscal policy.
- (b) Outline any two fiscal policy measures that can be taken to solve each of the following economic problems.
 - (i) inflation
 - (ii) unemployment
 - (iii) balance of payment deficit

Question 14

- (a) Why is scarcity a fundamental problem in Economics?
- (b) Give a reason why Economics is a
 - (i) Science;
 - (ii) Social Science.

Question 15

- (a) Outline the chain of distribution for manufactured consumer goods.
- (b) Explain the functions of the
 - (i) wholesaler;
 - (ii) retailer.

Question 16

- (a) Define labour.
- (b) Give four factors that affect the efficiency of labour in your country.

Question 17

- (a) With examples, distinguish between direct and indirect tax.
- (b) Explain any four problems of tax collection in any West African Country.

Question 18

- (a) Distinguish between the following pairs of cost concepts.
 - (i) Fixed cost and variable cost.
 - (ii) Real cost and money cost
 - (iii) Implicit cost and explicit cost.
- (b) (i) What would you recommend to a firm whose average cost is greater than its price?
 - (ii) Give a reason for your answer in 7(b)(i) above.

Question 19

- (a) What is a capital market?
- (b) Describe any three instruments used in the capital market.

Question 20

- (a) What is (i) devaluation;
(ii) depreciation of currency?
- (b) Outline three measures that can be adopted to correct balance of payments deficit.

Question 21

- (a) With the aid of a diagram, explain the effects of fixing price
 - (i) above the equilibrium price
 - (ii) below the equilibrium price.
- (b) (i) What is an abnormal demand?
(ii) Give two reasons for its occurrence.

Question 22

Explain any five objectives of the Economic community of West African States (ECOWAS)

Question 23

Give five reasons for the continued existence of the organization of Petroleum Exporting Countries (OPEC).

Question 24

With an appropriate illustration, explain the circumstance in which an increase in output of a producer would

- (a) decrease his sales revenue;
- (b) increase his sales revenue.

Question 25

- (a) Define increase in supply.
- (b) With the aid of diagrams. explain the effect of an increase in the supply of fish on the price of beef.

Question 26

- (a) What is the equilibrium of a consumer?
- (b) Explain how a consumer attains equilibrium in spending his income.

Question 27

- (a) Explain. with examples, the following types of production:
 - (i) Primary;
 - (ii) Secondary;
 - (iii) Tertiary.
- (b) Give two reasons why primary production pre-dominates in developing countries.

Question 28

- (a) What is a partnership?
- (b) State any two advantages and any two disadvantages of a partnership

Question 29

- (a) What is privatization?
- (b) Give four reasons for government participation in economic activities in your country

Question 30

- (a) Distinguish between location of industries and localization of industries.
- (b) Describe any three advantages and any two disadvantages of locating industries in rural areas.

Question 31

- (a) Explain the function of money as a
 - (i) measure of value;
 - (ii) store of value.
- (b) Show how inflation affects these two functions of money.

Question 32

- (a) What is a commercial bank?
- (b) Describe any four ways by which the Central Bank controls the amount of credit given by the commercial banks.

Question 33

- (a) What is incidence of taxes?
- (b) Explain all four principles of taxation.

Question 34

- (a) Distinguish between underemployment and disguised unemployment.
- (b) Outline any four measures that can be adopted by the government of your country to solve the problem of unemployment.

Question 35

- (a) What is meant by the value of money?
- (b) State any four qualities of money.
- (c) Explain the motives for holding money.

Question 36

- (a) Define supply.
- (b) With the aid of a diagram, explain what is meant by a change in supply.
- (c) Explain any three factors that cause changes in supply.

Question 37

- (a) What is a customs union?
- (b) Explain any four ways in which a customs union can speed up the economic growth of its members.

Question 38

- (a) What is subsistence farming?
- (b) State any two objectives of agricultural policies in West Africa.
- (c) Outline any four ways through which agricultural production can be improved in West Africa.

Question 39

- (a) Briefly explain the following concepts:
 - 1. Economic development;
 - 2. Economic development planning.
- (b) Highlight any five reasons why the West African countries engage in development planning.

Question 40

- (a) What is a minimum wage?
- (b) Distinguish between money wage and real wage.
- (c) Outline any four reasons for the difference in wages paid to different categories of workers

Question 41

- (a) Highlight any four features of cooperative societies.
- (b) Identify any four sources of finance available to business enterprises in your country.

Question 42

- (a) Distinguish between a merchant bank and a commercial bank.
- (b) Outline any four functions of a merchant bank.

Question 43

The following are the loans granted by a Commercial bank to different categories of individuals. Use the information to answer the questions that follow:

Bakers \$8,000; Farmers \$8,000; Miners \$7,000; Retailers \$5,000;

Tailors \$4,000; Teachers \$6,000; Drivers \$4,000; Fishermen \$3,000.

(a) Arrange the information in the form of a table grouping the individuals into:

1. Primary sector;
2. Secondary Sector;
3. Tertiary Sector.

(b) Express the loan to each sector as a ratio of the total loan granted.

(c) Present the total loans granted to the sector in a simple bar chart. (use of graph sheet is essential).

Question 44

(a) What is a centrally planned economy ?

(b) Outline any four features of a capitalist economy ?

Question 45

(a) Define mobility of labour.

(b) Describe any four factors influencing the supply of labour.

Question 46

1. What is international trade?

2. Explain any four advantages of international trade.

Question 47

Outline any five reasons why small scale firms are common in West Africa.

Question 48

- (a) Explain with examples, the terms competitive demand and complementary demand.
- (b) With the aid of diagrams, analyse the effect of a decrease in the import duty on cars on the price and consumption of petrol.

Question 49

- (a) What is demographic transition theory ?
- (b) Explain the three stages of the theory.

Question 50

- (a) Differentiate between shares and debentures.
- (b) Identify any four problems encountered by farmers in raising capital.

Question 51

- (a) Describe the following types of co-operation societies.
 - (i) consumers' co-operative;
 - (ii) producers' co-operative;
 - (iii) thrift and credit co-operative.
- (b) Highlight any two problems faced by co-operative societies in West Africa.

Question 52

- (a) What is economic development ?
- (b) Outline any five features of a developing economy.

Question 53

- (a) Outline any three objectives of the African Development Bank.
- (b) State any two achievements of the African Development Bank.

Question 54

- (a) Distinguish between underemployment and disguised unemployment.
- (b) Outline any four measures that can be adopted by the government of your country to solve the problem of unemployment.

Question 55

- (a) What is meant by the value of money?
- (b) State any four qualities of money.
- (c) Explain the motives for holding money.

Question 56

- a) Define supply.
- (b) With the aid of a diagram, explain what is meant by a change in supply.
- (c) Explain any three factors that cause changes in supply.

Question 57

- (a) What is a customs union?
- (b) Explain any four ways in which a customs union can speed up the economic growth of its members.

Question 58

- (a) What is subsistence farming?
- (b) State any two objectives of agricultural policies in West Africa.
- (c) Outline any four ways through which agricultural production can be improved in West Africa.

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- (a) Briefly explain the following concepts:
 - 1. Economic development;
 - 2. Economic development planning.
- (b) Highlight any five reasons why the West African countries engage in development planning.

Question 60

- (a) What is a minimum wage?
- (b) Distinguish between money wage and real wage.
- (c) Outline any four reasons for the difference in wages paid to different categories of workers

Question 61

- (a) What are external economies of scale?
- (b) Describe any four external economies of scale.
- (c) State any three limitations to the growth of firms.

Question 62

- (a) Highlight any four features of cooperative societies.
- (b) Identify any four sources of finance available to business enterprises in your country.

Question 63

- (a) Distinguish between a merchant bank and a commercial bank.
- (b) Outline any four functions of a merchant bank.

Question 64

Explain how the following factors will affect the demand for a commodity X:

- (a) a decrease in the price of a complement Y;
- (b) an increase in consumers' disposable income;
- (c) a decrease in the supply of a substitute P;
- (d) an increase in income tax.

A good number of candidates attempted this question and scored high marks. Most of the candidates provided appropriate answers to the question but a few of them could not adequately explain the relationship between the concepts involved.

The candidates were expected to provide the following answers to score maximum marks in this question.

- (a) If the price of commodity Y which is a complement of X decreases, other

things being equal, more of Y will be demanded. The demand for X will therefore also increase.

- (b) If disposable income (income after tax) increases; more of commodity X will be demanded, If X is a normal good.

Less of commodity X will be demanded, if X is an inferior good.

Demand for X will not change if X is a good subject to satiety.

- (c) Other things being equal, the price of P will increase. X will therefore become more attractive. Hence the demand for X will increase.

- (d) Increase in income tax will reduce consumers' disposable income. Other things being equal, less of X will be demanded if X is a normal good. More of X will be demanded if X is an inferior good.

The quantity demanded of X will not change if X is a good subject to satiety.

Question 65

- (a) State and explain the law of comparative cost advantage.
- (b) Give two limitations of the law as a theory of international trade.

This question attracted a good number of candidates who performed above average.

However, few of the candidates only provided answer for the (a) part of the question but failed to state the limitations of the law of comparative cost advantage as a theory of international trade as required in the (b) part of the question.

Candidates were expected to include any two of the following in their answers to score maximum marks in the (b) part of this question.

- (b) Some limitations of the law are:

- (i) It assumes that there are no transport costs.

1. It assumes free mobility of factors of production.

2. It assumes that production conditions (technology and the resource base of countries) will remain the same over time.

3. There are two countries in the world.

4. There are two commodities.

5. There are no trade restrictions or barriers to trade.

Question 66

- (a) Define money.
- (b) State the three motives for holding money.
- (c) Mention two determinants of each of the motives for holding money.

This question was popular among the candidates, but most of the candidates failed to provide adequate answers for the (c) part of the question. This obviously made them to score below average marks.

These candidates did not include the following in their answers:

- (c) Determinants of the motives are:

Transactions motive

- (i) size of income;
- (ii) interval between wage payments;
- (iii) availability of credit;
- (iv) family size.

Precautionary motive

- (i) size of income;
- (ii) interval between wage payments;
- (iii) availability of credit;
- (iv) perception of risks.

Speculative motive

- (i) the rate of interest;
- (ii) the degree of risk aversion.

Question 67

- (a) Distinguish between economic activities and an economic system.
- (b) Explain the following terms
 - (i) production;
 - (ii) distribution;
 - (iii) consumption

Majority of the candidates who attempted this question scored average marks. Most of the candidates only provided appropriate answers for the (b) part of the question but could not adequately, distinguish between economic activities and economic system as required in the (a) part of the question.

These candidates were expected to state thus to score maximum marks in this question.

- (a) Economic activities are what people do to earn a living. For example,
 - people are engaged in farming and trading.Economic system on the other hand refers to the mode of production and the distribution of goods and services within which economic activities take place.

These candidates were expected to state the following answers for the (b) part to score good marks.

- (b) Features of a monopoly are as follows:

1. there is only one seller of a product;
2. entry is restricted. Barriers to entry are so severe that new firms find it

difficult to enter the market;

1. it has the power to control price or output but not both;
2. there is an imperfect knowledge or information about market conditions;
3. there is no perfect substitute for the products sold by the monopolist.

Question 68

- (a) Define
 - (i) elasticity of demand;
 - (ii) price elasticity of demand.
- (b) State any four determinants of price elasticity of demand.
- (c) Draw curves illustrating
 - (i) fairly elastic demand;
 - (ii) perfectly inelastic demand.

This question was attempted by many of the candidates who performed fairly above average. Candidates generally provided expected answers for the (a) and (c) parts of the question but only a few of them attempted the (b) part of the question appropriately.

The candidates who scored low marks in this question failed to provide the following answers:

(b) The determinants are:

1. Nature of the commodity: That is, whether the commodity is a necessity or luxury. Necessary goods have inelastic demand while luxury goods have elastic demand.

1. Substitutes: Commodities having substitutes have more elastic demand while those without substitutes have inelastic demand.

1. Number of uses: Commodities with variety of uses have elastic demand.

1. Habits: Goods consumed as habits have inelastic demand.

1. Consumer's income: Where the percentage of customers' income spent on a commodity is large, demand tends to be price elastic and vice versa.

Question 69

- (a) Define market in economics.
- (b) State any three features of a monopoly.
- (c) Outline any three sources of monopoly power.

A good number of candidates attempted this question and scored above average marks. The (a) and (c) parts of the question were well attempted. However, most of the candidates could not provide the right answers for the (b) part of the question which reduced their scores for this question.

These candidates were expected to state the following answers for the (b) part to score good marks.

(b) Features of a monopoly are as follows:

1. there is only one seller of a product;
2. entry is restricted. Barriers to entry are so severe that new firms find it

difficult to enter the market;

1. it has the power to control price or output but not both;
2. there is an imperfect knowledge or information about market conditions;
3. there is no perfect substitute for the products sold by the monopolist.

Question 70

(a) With the aid of a diagram, explain a minimum price.

(b) State any five measures by which a minimum price for an agricultural produce can be made effective.

This question was not popular with the candidates, the few who attempted it scored average marks. This resulted mainly from the fact that the candidates could only provide the correct answer for the (a) part of the question. The (b) part was however not properly answered.

Candidates needed to state the following to score the maximum marks for this question.

(b) Some measures by which a minimum price can be made effective are:

Increase in demand through the promotion of exports to establish an equilibrium at the minimum price.

(ii) Increase in demand by the imposition of taxes on substitutes to raise their prices.

(iii) Increase in demand through increased advertisement.

(iv) Increase in demand through the institution of a buffer stock scheme.

(v) Decrease supply by raising prices of inputs

(vi) Reduce or withdraw subsidies in production to decrease supply.

(vii) Impose higher taxes on producers to discourage production.

(viii) Reduce taxes on the production of other commodities to attract resources into them.

Question 71

- (a) What is a supply schedule?
- (b) Using an example, show how a market supply schedule of a product is obtained from individual supply schedules.
- (c) State three examples of exceptional demand.

Most of the candidates were attracted to this question. The general performance was well above average. A few of the candidates had difficulty in providing the correct answer for the (c) part of the question. These candidates would have scored better marks if they had included the following in their answers.

- (c) Exceptional demand:

Fixed demand or perfectly inelastic demand e.g. salt

Perfectly elastic demand

Expectation of future increase in price.

Articles of ostentation.

- (v) Giffen goods.

Question 72

- (a) Describe the output method of measuring the gross domestic product of a country.
- (b) How is the net national product at factor cost obtained from gross domestic product?
- (c) State two problems associated with the output method.

This question was avoided by most of the candidates, the very few who attempted it only provided answers for the (a) part of the question the (b) and (c) parts were left unanswered. Candidates' performance was generally poor for this question.

Candidates needed to provide the following answers to score good marks in this question.

- (b) To the gross domestic product, we add the net factor incomes from abroad to obtain gross national product at market prices.

From the gross national product at market prices, we deduct depreciation or capital consumption allowance, to obtain net national product at market prices.

From the net national product at market prices we deduct indirect taxes and add subsidies to obtain net national product at factor cost.

- (c) The problems associated with the output method are:

1. Double counting.

2. Difficulty in measuring subsistence output.
3. Difficulty in estimating rental value of owner-occupied houses.
4. Difficulty in estimating the net income from abroad.
5. Inaccurate data in measuring the output of the sectors.

Question 73

The demand for a firm's product is presented as $Q_d = 28 - 4p$.

Prices over the period are \$2.50; \$3.50; \$4.50; \$5.50 and \$7.00.

Calculate:

the quantity demanded at each price;

the total revenue at each price;

(i) what is the coefficient of price elasticity of demand

when price increased from \$2.50 to \$3.50?

(ii) is the demand elastic or inelastic ?

(iii) state the reason for your answer in 1(c)ii.

Question 74

(a) Distinguish between underemployment and disguised unemployment.

(b) Outline any four measures that can be adopted by the government of your country to solve the problem of unemployment.

Question 75

(a) What is meant by the value of money?

(b) State any four qualities of money.

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- (a) Define supply.
- (b) With the aid of a diagram, explain what is meant by a change in supply.
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- (a) What is a customs union?
- (b) Explain any four ways in which a customs union can speed up the economic growth of its members.

Question 78

- (a) What is subsistence farming?
- (b) State any two objectives of agricultural policies in West Africa.
- (c) Outline any four ways through which agricultural production can be improved in West Africa.

Question 79

- (a) Briefly explain the following concepts:
 - 1. Economic development;
 - 2. Economic development planning.
- (b) Highlight any five reasons why the West African countries engage in development planning.

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- (a) What is a minimum wage?
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- (a) What are external economies of scale?
- (b) Describe any four external economies of scale.
- (c) State any three limitations to the growth of firms.

Question 91

- (a) Highlight any four features of cooperative societies.
- (b) Identify any four sources of finance available to business enterprises in your country.

Question 92

- (a) Distinguish between a merchant bank and a commercial bank.
- (b) Outline any four functions of a merchant bank.

Question 93

- (a) What is:
 - (i) Peasant farming;
 - (ii) Commercial farming?
- (b) Describe five ways in which agriculture contributes to the economic development of your country?

Question 94

- (a) Distinguish between small scale production and large scale production.
- (b) Describe any five internal economies of large scale production.

Question 95

- (a) Explain four benefits of industrial development in an economy.
- (b) Outline any four measures that will encourage industrial growth in your country.

Question 96

- (a) Differentiate between direct and indirect taxation.
- (b) Highlight any five advantages of indirect taxation to developing countries.

Question 97

- 1 What is international trade?
2. Explain the following barriers to trade:
 - (i) embargo;
 - (ii) quota.
3. Identify any four reasons countries engage in international trade.

Question 98

- (a) Explain the following forms of economic integration:
 - (i) free trade area;
 - (ii) custom union;
 - (iii) common market;
 - (iv) economic union.
- (b) Outline any four problems of economic integration in West Africa.

Question 99

The demand for a firm's product is presented as $Q_d = 28 - 4p$.

Prices over the period are \$2.50; \$3.50; \$4.50; \$5.50 and \$7.00.

Calculate:

- the quantity demanded at each price;
- the total revenue at each price;
- (i) what is the coefficient of price elasticity of demand when price increased from \$2.50 to \$3.50?
- (ii) is the demand elastic or inelastic ?
- (iii) state the reason for your answer in 1(c)ii.

Question 100

- (a) Distinguish between underemployment and disguised unemployment.
- (b) Outline any four measures that can be adopted by the government of your country to solve the problem of unemployment.